

AN OVERSEAS ACCOUNT

Let us relate our experience. When we finally had made a little money, after 30 years of “busting our humps,” we decided to find a private bank to hold it for us. We went around London, which was convenient for us at the time, talking to the leading “private client” departments at leading banks. Each one had a group of well-dressed, well-spoken business school graduates. And each group had the same palaver, referring to modern portfolio management theories, the “efficient frontier” of investment returns, and so forth. By then, we knew this talk was mostly gobbledygook. Then, we finally found one investment firm with its feet on the ground. Its analysts saw the world the way we did. The firm even specialized in family office clients. It seemed like a perfect fit. There was just one problem.

Sitting in the oak-paneled conference room, not far off Pall Mall, we saw a look of distress in the banker’s eyes. We had been having a good conversation and were pleased to find that we were kindred spirits, at least in matters of economics. But we had just told him how much money we would like to place in the bank.

“I’m sorry, sir,” said this very proper Englishman. “I don’t know how to tell you this . . . so I’ll just tell you. You don’t have enough money to interest us. We only take accounts in excess of \$200 million.”

This came as a shock. We were surprised that there were enough clients with \$200 million that the bank could make a business of managing them.

Later, we went to another country and found someone willing to take our piddling account. But most Americans face a further problem: Foreign banks don’t want American clients. Why? Because the United States imposes such a burden of paperwork and menaces both clients and banks with such painful penalties, the banks have generally thrown up their hands and tossed out their U.S. clients.

This is a nuisance. But not an insurmountable obstacle. We’ll tell you how we solved this problem in a minute. But a simple way to do it is to set up an account in a foreign country that is not perceived as a tax haven. Canada. Denmark. Britain. You will get most of the benefits of an “offshore” account in a major bank such as HSBC or Barclays, but without the problems.